UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2019/2020

SEPTEMBER EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

SATURDAY, 14 SEPTEMBER 2019 TIME: 9.00 AM – 12.00 PM (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONS)

Instructions to candidates:

Section A: [Total: 40 marks]

ONE (1) question is compulsory and **MUST** be answered.

Section B: [Total: 60 marks]

TWO (2) questions **ONLY** to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings.

UKFF4024 MULTINATIONAL FINANCE

Section A – Answer ALL questions. (Compulsory) **[Total: 40 marks]**

Q1. (a) Fixit Corp is a Singapore based manufacturer of semiconductor and has several branch offices in Southern East Asia region. In the coming months, the company thinks that they will garner contracts for exports to US due to the current trade war between US and China.

Just recently, Fixit Corp exports USD 800,000 worth of chips to a customer in Chicago and has allowed the customer a six-month credit term. The Finance Manager is considering which hedging technique would benefit the company most given that the company has no cash surplus and the level of gearing is below industry average.

The following information are given:

Spot rate (SGD/USD)	1.3700 –1.3810
Six-month forward	180 – 100 points
Six-month SGD interest rates	4.40% – 5.90%
Six-month USD interest rates	1.60% – 2.40%
Six-month call options on USD	1% premium; strike = SGD1.42200/USD
Six-month put options on USD	2% premium; strike = SGD1.41000/USD

Required:

Calculate the receipt in Singapore Dollar (SGD) if the following hedging techniques are used:

(i) Forward (2 marks)

(ii) Money market (8 marks)

(iii) Option (8 marks)

(iv) Evaluate which is the best hedging method for Fixit Corp. given that each method has its own unique features. (4 marks)

(b) Instead of exporting to U.S., Fixit might consider manufacturing the products in their own country or neighbouring country to achieve comparative advantage. Discuss the theory of comparative advantage applying to Fixit Corp. (12 marks)

(c) Fixit has continuous net cash outflow in Chinese Yuan as their raw material is imported from China. Elaborate **TWO (2)** possible ways of restructuring operations to reduce its economic exposure in Chinese Yuan. (6 marks)

[Total: 40 marks]

UKFF4024 MULTINATIONAL FINANCE

Section B – Answer TWO (2) questions only. **[Total: 60 marks]**

Q1. (a) In today's global economy, companies of all sizes are establishing operations in foreign markets. This type of expansion can provide several advantages, including greater opportunities for market growth and diversification.

However, despite the growing number of companies expanding abroad, there are still many firms that haven't made the leap overseas and your company is one of them. As the Finance Manager, evaluate the various incentives to consider for expansion in your company. (15 marks)

(b) In recent years, several U.S. firms have penetrated China's market by setting up subsidiaries. One of the challenges is the reduce cost of capital when financing businesses in a foreign market. Elaborate two scenarios given below on the impact to the U.S. firms financing decision.

(i) High interest rates in the overseas market.

(ii) The interest rate in China will not drop in the long term and the subsidiaries have to consider other alternative source of financing for example local debt. (10 marks)

(c) Internal strategies for managing cash flow are often used to reduce the risk of currency fluctuations. Assess how effective is these strategies and when is it appropriate to use. (5 marks)

[Total: 30 marks]

Q2. (a) Discuss the considerations that a multinational corporations need to make to ensure that the globalization process is successful when they decide to set their own subsidiary as oppose to acquiring an existing business in the foreign country. (12 marks)

(b) A currency trader in Australia currently holds a call and a put on the British pound. The following information is available:

Size of option contract = GBP500,000
Price of call AUD0.0150/GBP
Price of put AUD0.0075/GBP
Exercise exchange rate of call AUD2.45/GBP
Exercise exchange rate of put AUD2.48/GBP

(i) Determine the net pay-off on the call, the put and the combined position at the following spot exchange rates (AUD/GBP): (a) 2.500 and (b) 2.480. (4 marks)

Section B Q2. (b) (Continued)

(ii) The losses incur by a writer of an option may be extremely large if the underlying price goes in the direction which is not expected. Discuss how this type of situation happens. (4 marks)

(c) There is a strong theoretical argument in favour of analyzing any foreign project from the viewpoint of the parent. Cash flows to the parent are ultimately the basis for dividends to shareholders. Evaluations from the project perspective serves some useful purposes. These two perspectives will derive different net present value estimation for the company. Discuss why does this happen. (10 marks)

[Total: 30 marks]

Q3. (a) Numerous trade instruments offered for the conduct of trade is available from the financial institution. Determine how a multinational corporation is able to utilize **TWO (2)** methods to ensure payment by customers are received on time. (8 marks)

(b) Explain **FIVE (5)** reasons a firm might cross-list and sell its shares on a very liquid stock exchange. (10 marks)

(c) Rather than hedging with derivatives, a company can diversify their sources of cash flows to manage financial risk but it seems that this strategy might increase the company's cost of capital. Discuss. (12 marks)

[Total: 30 marks]